

Izharul Hauque v. State of U.P.

Allahabad High Court · Division Bench · 24 February 2016 · Writ - C No. 8370 of 2016 · **Notice issued on the challenge to the vires of clause 4.3(f)(v); interim order restraining enforcement of the recovery citation against the petitioner-Director, without restraining recovery against the company; matter listed for hearing.**

HEADNOTE

In a challenge to the vires of clause 4.3(f)(v) of the U.P. Electricity Supply Code, 2005 — which requires that recovery of a defaulting company-consumer's electricity dues be ensured from its Directors — the Court held that the issue required consideration, issued notice to the Advocate General, and by interim order restrained enforcement of the recovery citation against the petitioner-Director while leaving recovery against the company (the seventh respondent) unaffected. The order is interlocutory; the vires question was not decided.

FACTUAL SUMMARY

A recovery citation dated 1 January 2016 was issued by the Tehsildar, Khatauli (District Muzaffarnagar) for Rs.2,12,40,204 in electricity dues against both the seventh respondent — a private limited company that was the consumer under the supply agreement — and the petitioner, Izharul Hauque, a Director of that company. The petitioner challenged clause 4.3(f)(v) of the U.P. Electricity Supply Code, 2005, under which recovery from the Directors of a company-consumer must be ensured, as ultra vires the Electricity Act, 2003, contending that the definition of 'consumer' in s.2(15) does not permit recovery against Directors.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)(v)

Director liability for a company-consumer's dues — vires challenge (interim)

QUESTION

Whether recovery of a defaulting company-consumer's electricity dues can be enforced against its Director under clause 4.3(f)(v), or whether that clause is ultra vires s.2(15) of the Electricity Act, 2003.

HOLDING

Interlocutory. The challenge to the vires of clause 4.3(f)(v) requires consideration; notice was issued to the Advocate General, and by way of interim protection the recovery citation shall not be enforced against the petitioner-Director, without restraining recovery of the dues against the company (the seventh respondent) in accordance with law.

FLAG Interlocutory order; the vires question is not decided. A later order dated 24 February 2023 is a listing order, indicating the matter remained pending.

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VIRES OF CLAUSE 4.3(F)(V) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 — WHETHER RECOVERY OF A COMPANY-CONSUMER'S ELECTRICITY DUES MAY BE ENFORCED AGAINST ITS DIRECTOR, OR WHETHER THE CLAUSE IS ULTRA VIRES S.2(15) OF THE ELECTRICITY ACT, 2003

Admitted for consideration; notice issued to the Advocate General; interim protection granted to the Director. Not decided in this order.